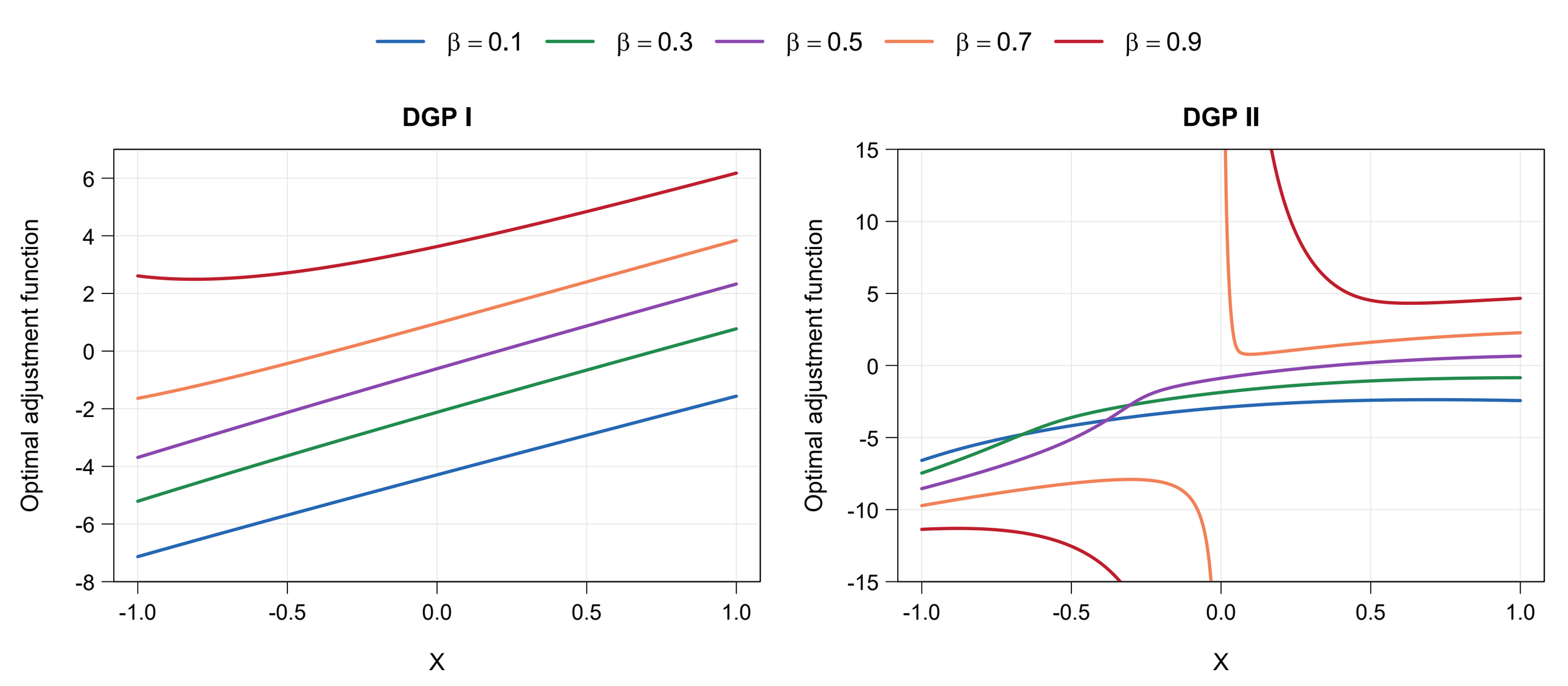

β = 0.1
β = 0.3
β = 0.5
β = 0.7
β = 0.9
DGP I
DGP II
Optimal adjustment function
X
6
4
2
0
-2
-4
-6
-8
-1.0
-0.5
0.0
0.5
1.0
15
10
5
0
-5
-10
-15